

Opinion of KAGAN, J.

historical claim on that analysis (though somehow also finding room for its two exceptions). See *ante*, at 214–215. But Taft’s historical research has held up even worse than *Myers*’ holding (which was mostly reversed, see *infra*, at 277). As Dean Manning has concluded after reviewing decades’ worth of scholarship on the issue, “the implications of the debate, properly understood, [are] highly ambiguous and prone to overreading.” Manning, 124 Harv. L. Rev., at 1965, n. 135; see *id.*, at 2030–2031.

The best view is that the First Congress was “deeply divided” on the President’s removal power, and “never squarely addressed” the central issue here. *Id.*, at 1965, n. 135; Prakash, New Light on the Decision of 1789, 91 Cornell L. Rev. 1021, 1072 (2006). The congressional debates revealed three main positions. See Corwin, 27 Colum. L. Rev., at 361. Some shared Hamilton’s Federalist No. 77 view: The Constitution required Senate consent for removal. At the opposite extreme, others claimed that the Constitution gave absolute removal power to the President. And a third faction maintained that the Constitution placed Congress in the driver’s seat: The legislature could regulate, if it so chose, the President’s authority to remove. In the end, Congress passed a bill saying nothing about removal, leaving the President free to fire the Secretary of Foreign Affairs at will. But the only one of the three views definitively rejected was Hamilton’s theory of necessary Senate consent. As even strong proponents of executive power have shown, Congress never “endorse[d] the view that [it] lacked authority to modify” the President’s removal authority when it wished to. Prakash, *supra*, at 1073; see Manning, *supra*, at 1965, n. 135, 2030–2031. The summer of 1789 thus ended without resolution of the critical question: Was the removal power “beyond the reach of congressional regulation?” Prakash, *supra*, at 1072.

At the same time, the First Congress gave officials handling financial affairs—as compared to diplomatic and mili-

tary ones—some independence from the President. The title and first section of the statutes creating the Departments of Foreign Affairs and War designated them “executive departments.” Act of July 27, 1789, ch. 4, 1 Stat. 28; Act of Aug. 7, 1789, ch. 7, 1 Stat. 49. The law creating the Treasury Department conspicuously avoided doing so. See Act of Sept. 2, 1789, ch. 12, 1 Stat. 65. That difference in nomenclature signaled others of substance. Congress left the organization of the Departments of Foreign Affairs and War skeletal, enabling the President to decide how he wanted to staff them. See Casper, *An Essay in Separation of Powers*, 30 Wm. & Mary L. Rev. 211, 239–241 (1989). By contrast, Congress listed each of the offices within the Treasury Department, along with their functions. See *ibid.* Of the three initial Secretaries, only the Treasury’s had an obligation to report to Congress when requested. See §2, 1 Stat. 65–66. And perhaps most notable, Congress soon deemed the Comptroller of the Treasury’s settlements of public accounts “final and conclusive.” Act of Mar. 3, 1795, ch. 48, §4, 1 Stat. 441–442. That decision, preventing presidential overrides, marked the Comptroller as exercising independent judgment.⁵ True enough, no statute shielded the Comptroller from discharge. But even James Madison, who

⁵ As President Jefferson explained: “[W]ith the settlement of the accounts at the Treasury I have no right to interfere in the least,” because the Comptroller of the Treasury “is the sole & supreme judge in all claims for money against the US. and would no more receive a direction from me” than would “one of the judges of the supreme court.” Letter from T. Jefferson to B. Latrobe (June 2, 1808), in *Thomas Jefferson and the National Capital* 429, 431 (S. Padover ed. 1946). A couple of decades later, Attorney General William Wirt reached the same conclusion, stating that “the President has no right to interpose in the settling of accounts” because Congress had “separated” the Comptroller from the President’s authority. 1 Op. Att’y Gen. 636, 637 (1824); 1 Op. Att’y Gen. 678, 680 (1824). And indeed, Wirt believed that Congress could restrict the President’s authority to remove such officials, at least so long as it “express[ed] that intention clearly.” 1 Op. Att’y Gen. 212, 213 (1818).

Opinion of KAGAN, J.

at this point opposed most removal limits, told Congress that “there may be strong reasons why an officer of this kind should not hold his office at the pleasure” of the Secretary or President. 1 Annals of Cong. 612. At the least, as Professor Prakash writes, “Madison maintained that Congress had the [constitutional] authority to modify [the Comptroller’s] tenure.” Prakash, *supra*, at 1071.

Contrary to the majority’s view, then, the founding era closed without any agreement that Congress lacked the power to curb the President’s removal authority. And as it kept that question open, Congress took the first steps—which would launch a tradition—of distinguishing financial regulators from diplomatic and military officers. The latter mainly helped the President carry out his own constitutional duties in foreign relations and war. The former chiefly carried out statutory duties, fulfilling functions Congress had assigned to their offices. In addressing the new Nation’s finances, Congress had begun to use its powers under the Necessary and Proper Clause to design effective administrative institutions. And that included taking steps to insulate certain officers from political influence.

2

As the decades and centuries passed, those efforts picked up steam. Confronting new economic, technological, and social conditions, Congress—and often the President—saw new needs for pockets of independence within the federal bureaucracy. And that was especially so, again, when it came to financial regulation. I mention just a few highlights here—times when Congress decided that effective governance depended on shielding technical or expertise-based functions relating to the financial system from political pressure (or the moneyed interests that might lie behind it). Enacted under the Necessary and Proper Clause, those measures—creating some of the Nation’s most enduring institutions—themselves helped settle the extent of Congress’s

power. “[A] regular course of practice,” to use Madison’s phrase, has “liquidate[d]” constitutional meaning about the permissibility of independent agencies. See *supra*, at 269.

Take first Congress’s decision in 1816 to create the Second Bank of the United States—“the first truly independent agency in the republic’s history.” Lessig & Sunstein, *The President and the Administration*, 94 *Colum. L. Rev.* 1, 30 (1994). Of the twenty-five directors who led the Bank, the President could appoint and remove only five. See Act of Apr. 10, 1816, § 8, 3 Stat. 269. Yet the Bank had a greater impact on the Nation than any but a few institutions, regulating the Nation’s money supply in ways anticipating what the Federal Reserve does today. Of course, the Bank was controversial—in large part because of its freedom from presidential control. Andrew Jackson chafed at the Bank’s independence and eventually fired his Treasury Secretary for keeping public moneys there (a dismissal that itself provoked a political storm). No matter. Innovations in governance always have opponents; administrative independence predictably (though by no means invariably) provokes presidential ire. The point is that by the early 19th century, Congress established a body wielding enormous financial power mostly outside the President’s dominion.

The Civil War brought yet further encroachments on presidential control over financial regulators. In response to wartime economic pressures, President Lincoln (not known for his modest view of executive power) asked Congress to establish an office called the Comptroller of the Currency. The statute he signed made the Comptroller removable only with the Senate’s consent—a version of the old Hamiltonian idea, though this time required not by the Constitution itself but by Congress. See Act of Feb. 25, 1863, ch. 58, 12 Stat. 665. A year later, Congress amended the statute to permit removal by the President alone, but only upon “reasons to be communicated by him to the Senate.” Act of June 3, 1864, § 1, 13 Stat. 100. The majority dismisses the original

Opinion of KAGAN, J.

version of the statute as an “aberration.” *Ante*, at 220. But in the wake of the independence given first to the Comptroller of the Treasury and then to the national Bank, it’s hard to conceive of this newest Comptroller position as so great a departure. And even the second iteration of the statute preserved a constraint on the removal power, requiring a President in a firing mood to explain himself to Congress—a demand likely to make him sleep on the subject. In both versions of the law, Congress responded to new financial challenges with new regulatory institutions, alert to the perils in this area of political interference.⁶

And then, nearly a century and a half ago, the floodgates opened. In 1887, the growing power of the railroads over the American economy led Congress to create the Interstate Commerce Commission. Under that legislation, the President could remove the five Commissioners only “for inefficiency, neglect of duty, or malfeasance in office”—the same standard Congress applied to the CFPB Director. Act of Feb. 4, 1887, § 11, 24 Stat. 383. More—many more—for-

⁶The Comptroller legislation of the Civil War provided a key precedent for what *does* appear a historical “aberration”—the Tenure of Office Act of 1867. See ch. 154, 14 Stat. 430. Anxious to prevent President Andrew Johnson from interfering with reconstruction policies—including through his command of the military—Congress barred presidential removal of any Senate-confirmed officials without the Senate’s consent. The law thus severed the President’s removal authority over even officials like the Secretaries of War and State. The statute became the basis for the Nation’s first presidential impeachment, but was repealed in 1887. See Act of Mar. 3, 1887, ch. 353, 24 Stat. 500. In one sense, the two-decade-long existence of the Tenure of Office Act reveals the 19th-century political system’s comfort with expansive restrictions on presidential removal. But the ultimate repudiation of the law, and the broad historical consensus that it went too far, just as strongly shows the limits that system later accepted on legislative power—that Congress may not impose removal restrictions preventing the President from carrying out his own constitutionally assigned functions in areas like war or foreign affairs. See *Morrison v. Olson*, 487 U. S. 654, 689–691 (1988) (recognizing that limit as the constitutional standard).

cause removal provisions followed. In 1913, Congress gave the Governors of the Federal Reserve Board for-cause protection to ensure the agency would resist political pressure and promote economic stability. See Act of Dec. 23, 1913, ch. 6, 38 Stat. 251. The next year, Congress provided similar protection to the FTC in the interest of ensuring “a continuous policy” “free from the effect” of “changing [White House] incumbency.” 51 Cong. Rec. 10376 (1914). The Federal Deposit Insurance Corporation (FDIC), the Securities and Exchange Commission (SEC), the Commodity Futures Trading Commission. In the financial realm, “independent agencies have remained the bedrock of the institutional framework governing U. S. markets.” Gadinis, *From Independence to Politics in Financial Regulation*, 101 Cal. L. Rev. 327, 331 (2013). By one count, across all subject matter areas, 48 agencies have heads (and below them hundreds more inferior officials) removable only for cause. See *Free Enterprise Fund*, 561 U. S., at 541 (BREYER, J., dissenting). So year by year, the broad sweep of history has spoken to the constitutional question before us: Independent agencies are everywhere.

C

What is more, the Court’s precedents before today have accepted the role of independent agencies in our governmental system. To be sure, the line of our decisions has not run altogether straight. But we have repeatedly upheld provisions that prevent the President from firing regulatory officials except for such matters as neglect or malfeasance. In those decisions, we sounded a caution, insisting that Congress could not impede through removal restrictions the President’s performance of his own constitutional duties. (So, to take the clearest example, Congress could not curb the President’s power to remove his close military or diplomatic advisers.) But within that broad limit, this Court held, Congress could protect from at-will removal the officials it deemed to need some independence from political pressures. Nowhere do those precedents suggest what the

Opinion of KAGAN, J.

majority announces today: that the President has an “unrestricted removal power” subject to two bounded exceptions. *Ante*, at 204.

The majority grounds its new approach in *Myers*, ignoring the way this Court has cabined that decision. *Myers*, the majority tells us, found an unrestrained removal power “essential to the [President’s] execution of the laws.” *Ante*, at 214 (quoting *Myers*, 272 U. S., at 117). What the majority does not say is that within a decade the Court abandoned that view (much as later scholars rejected Taft’s one-sided history, see *supra*, at 270–271). In *Humphrey’s Executor v. United States*, 295 U. S. 602 (1935), the Court unceremoniously—and unanimously—confined *Myers* to its facts. “[T]he narrow point actually decided” there, *Humphrey’s* stated, was that the President could “remove a postmaster of the first class, without the advice and consent of the Senate.” 295 U. S., at 626. Nothing else in Chief Justice Taft’s prolix opinion “[c]ame within the rule of *stare decisis*.” *Ibid.* (Indeed, the Court went on, everything in *Myers* “out of harmony” with *Humphrey’s* was expressly “disapproved.” 295 U. S., at 626.) Half a century later, the Court was more generous. Two decisions read *Myers* as standing for the principle that Congress’s own “participation in the removal of executive officers is unconstitutional.” *Bowsher v. Synar*, 478 U. S. 714, 725 (1986); see *Morrison*, 487 U. S., at 686 (“As we observed in *Bowsher*, the essence” of “*Myers* was the judgment that the Constitution prevents Congress from draw[ing] to itself” the power to remove (internal quotation marks omitted)). *Bowsher* made clear that *Myers* had nothing to say about Congress’s power to enact a provision merely “limit[ing] the President’s powers of removal” through a for-cause provision. 478 U. S., at 724. That issue, the Court stated, was “not presented” in “the *Myers* case.” *Ibid.* Instead, the relevant cite was *Humphrey’s*.

And *Humphrey’s* found constitutional a statute identical to the one here, providing that the President could remove FTC Commissioners for “inefficiency, neglect of duty, or mal-

feasance in office.” 295 U.S., at 619. The *Humphrey’s* Court, as the majority notes, relied in substantial part on what kind of work the Commissioners performed. See *id.*, at 628, 631; *ante*, at 215–216. (By contrast, nothing in the decision turned—as the majority suggests, see *ibid.*—on any of the agency’s organizational features. See *infra*, at 290.) According to *Humphrey’s*, the Commissioners’ primary work was to “carry into effect legislative policies”—“filling in and administering the details embodied by [a statute’s] general standard.” 295 U.S., at 627–628. In addition, the Court noted, the Commissioners recommended dispositions in court cases, much as a special master does. Given those “quasi-legislative” and “quasi-judicial”—as opposed to “purely executive”—functions, Congress could limit the President’s removal authority. *Id.*, at 628.⁷ Or said another way, Congress could give the FTC some “independen[ce from] executive control.” *Id.*, at 629.

About two decades later, an again-unanimous Court in *Wiener v. United States*, 357 U.S. 349 (1958), reaffirmed *Humphrey’s*. The question in *Wiener* was whether the President could dismiss without cause members of the War Claims Commission, an entity charged with compensating injuries arising from World War II. Disdaining *Myers* and relying on *Humphrey’s*, the Court said he could not. The Court described as “short-lived” *Myers’* view that the President had “inherent constitutional power to remove officials, no matter what the relation of the executive to the discharge

⁷The majority is quite right that today we view *all* the activities of administrative agencies as exercises of “the ‘executive Power.’” *Arlington v. FCC*, 569 U.S. 290, 305, n. 4 (2013) (quoting Art. II, § 1, cl. 1); see *ante*, at 216, n. 2. But we well understand, just as the *Humphrey’s* Court did, that those activities may “take ‘legislative’ and ‘judicial’ forms.” *Arlington*, 569 U.S., at 305, n. 4. The classic examples are agency rule-makings and adjudications, endemic in agencies like the FTC and CFPB. In any event, the Court would soon make clear that Congress can also constrain the President’s removal authority over officials performing even the most “executive” of functions. See *infra*, at 279–280.

Opinion of KAGAN, J.

of their duties.” 357 U. S., at 352.⁸ Here, the Commissioners were not close agents of the President, who needed to be responsive to his preferences. Rather, they exercised adjudicatory responsibilities over legal claims. Congress, the Court found, had wanted the Commissioners to do so “free from [political] control or coercive influence.” *Id.*, at 355 (quoting *Humphrey’s*, 295 U. S., at 629). And that choice, as *Humphrey’s* had held, was within Congress’s power. The Constitution enabled Congress to take down “the Damocles’ sword of removal” hanging over the Commissioners’ heads. 357 U. S., at 356.

Another three decades on, *Morrison* both extended *Humphrey’s* domain and clarified the standard for addressing removal issues. The *Morrison* Court, over a one-Justice dissent, upheld for-cause protections afforded to an independent counsel with power to investigate and prosecute crimes committed by high-ranking officials. The Court well understood that those law enforcement functions differed from the rule-making and adjudicatory duties highlighted in *Humphrey’s* and *Wiener*. But that difference did not resolve the issue. An official’s functions, *Morrison* held, were relevant to but not dispositive of a removal limit’s constitutionality. The key question in all the cases, *Morrison* saw, was whether such a restriction would “impede the President’s ability to perform his constitutional duty.” 487 U. S., at 691. Only if it did so would it fall outside Congress’s power. And the protection for the independent counsel, the Court found, did not. Even though the counsel’s functions were “purely exec-

⁸Expressing veiled contempt as only he could, Justice Frankfurter wrote for the Court that Chief Justice Taft’s opinion had “laboriously traversed” American history and that it had failed to “restrict itself to the immediate issue before it.” 357 U. S., at 351. No wonder *Humphrey’s* had “narrowly confined the scope of the *Myers* decision.” 357 U. S., at 352. Justice Frankfurter implied that the “Chief Justice who himself had been President” was lucky his handiwork had not been altogether reversed. *Id.*, at 351.

utive,” the President’s “need to control the exercise of [her] discretion” was not “so central to the functioning of the Executive Branch as to require” unrestricted removal authority. *Id.*, at 690–691. True enough, the Court acknowledged, that the for-cause standard prevented the President from firing the counsel for discretionary decisions or judgment calls. But it preserved “ample authority” in the President “to assure that the counsel is competently performing” her “responsibilities in a manner that comports with” all legal requirements. *Id.*, at 692. That meant the President could meet his own constitutional obligation “to ensure ‘the faithful execution’ of the laws.” *Ibid.*; see *supra*, at 268.⁹

The majority’s description of *Morrison*, see *ante*, at 217–218, is not true to the decision. (Mostly, it seems, the majority just wishes the case would go away. See *ante*, at 219, n. 4.) First, *Morrison* is no “exception” to a broader rule from *Myers*. *Morrison* echoed all of *Humphrey*’s criticism of the by-then infamous *Myers* “dicta.” 487 U. S., at 687. It again rejected the notion of an “all-inclusive” removal power. *Ibid.* It yet further confined *Myers*’ reach, making clear that Congress could restrict the President’s removal

⁹ Pretending this analysis is mine rather than *Morrison*’s, the majority registers its disagreement. See *ante*, at 228–229, n. 11. In its view, a test asking whether a for-cause provision impedes the President’s ability to carry out his constitutional functions has “no real limiting principle.” *Ibid.* If the provision leaves the President with constitutionally sufficient control over some subordinates (like the independent counsel), the majority asks, why not over even his close military or diplomatic advisers? See *ibid.* But the Constitution itself supplies the answer. If the only presidential duty at issue is the one to ensure faithful execution of the laws, a for-cause provision does not stand in the way: As *Morrison* recognized, it preserves authority in the President to ensure (just as the Take Care Clause requires) that an official is abiding by law. See 487 U. S., at 692. But now suppose an additional constitutional duty is implicated—relating, say, to the conduct of foreign affairs or war. To carry out those duties, the President needs advisers who will (beyond complying with law) help him devise and implement policy. And that means he needs the capacity to fire such advisers for disagreeing with his policy calls.

Opinion of KAGAN, J.

of officials carrying out even the most traditional executive functions. And the decision, with care, set out the governing rule—again, that removal restrictions are permissible so long as they do not impede the President’s performance of his own constitutionally assigned duties. Second, as all that suggests, *Morrison* is not limited to inferior officers. In the eight pages addressing the removal issue, the Court constantly spoke of “officers” and “officials” in general. 487 U. S., at 685–693. By contrast, the Court there used the word “inferior” in just one sentence (which of course the majority quotes), when applying its general standard to the case’s facts. *Id.*, at 691. Indeed, Justice Scalia’s dissent emphasized that the counsel’s inferior-office status played no role in the Court’s decision. See *id.*, at 724 (“The Court could have resolved the removal power issue in this case by simply relying” on that status, but did not). As Justice Scalia noted, the Court in *United States v. Perkins*, 116 U. S. 483, 484–485 (1886), had a century earlier allowed Congress to restrict the President’s removal power over inferior officers. See *Morrison*, 487 U. S., at 723–724. Were that *Morrison*’s basis, a simple citation would have sufficed.

Even *Free Enterprise Fund*, in which the Court recently held a removal provision invalid, operated within the framework of this precedent—and in so doing, left in place a removal provision just like the one here. In that case, the Court considered a “highly unusual” scheme of double for-cause protection. 561 U. S., at 505. Members of an accounting board were protected from removal by SEC Commissioners, who in turn were protected from removal by the President. The Court found that the two-layer structure deprived the President of “adequate control” over the Board members. *Id.*, at 508. The scheme “impaired” the President’s “ability to execute the laws,” the Court explained, because neither he nor any fully dependent agent could decide “whether[] good cause exists” for a discharge. *Id.*, at 495–496. That holding cast no doubt on ordinary for-cause pro-

tections, of the kind in the Court’s prior cases (and here as well). Quite the opposite. The Court observed that it did not “take issue with for-cause limitations in general”—which *do* enable the President to determine whether good cause for discharge exists (because, say, an official has violated the law). *Id.*, at 501. And the Court’s solution to the constitutional problem it saw was merely to strike one level of insulation, making the Board removable by the SEC at will. That remedy left the SEC’s own for-cause protection in place. The President could thus remove Commissioners for malfeasance or neglect, but not for policy disagreements. See *ante*, at 229–230.

So caselaw joins text and history in establishing the general permissibility of for-cause provisions giving some independence to agencies. Contrary to the majority’s view, those laws do not represent a suspicious departure from illimitable presidential control over administration. For almost a century, this Court has made clear that Congress has broad discretion to enact for-cause protections in pursuit of good governance.

D

The deferential approach this Court has taken gives Congress the flexibility it needs to craft administrative agencies. Diverse problems of government demand diverse solutions. They call for varied measures and mixtures of democratic accountability and technical expertise, energy and efficiency. Sometimes, the arguments push toward tight presidential control of agencies. The President’s engagement, some people say, can disrupt bureaucratic stagnation, counter industry capture, and make agencies more responsive to public interests. See, well, Kagan, *Presidential Administration*, 114 Harv. L. Rev. 2245, 2331–2346 (2001). At other times, the arguments favor greater independence from presidential involvement. Insulation from political pressure helps ensure impartial adjudications. It places technical issues in the hands of those most capable of addressing them. It pro-

Opinion of KAGAN, J.

motes continuity, and prevents short-term electoral interests from distorting policy. (Consider, for example, how the Federal Reserve's independence stops a President trying to win a second term from manipulating interest rates.) Of course, the right balance between presidential control and independence is often uncertain, contested, and value-laden. No mathematical formula governs institutional design; trade-offs are endemic to the enterprise. But that is precisely why the issue is one for the political branches to debate—and then debate again as times change. And it's why courts should stay (mostly) out of the way. Rather than impose rigid rules like the majority's, they should let Congress and the President figure out what blend of independence and political control will best enable an agency to perform its intended functions.

Judicial intrusion into this field usually reveals only how little courts know about governance. Even everything I just said is an over-simplification. It suggests that agencies can easily be arranged on a spectrum, from the most to the least presidentially controlled. But that is not so. A given agency's independence (or lack of it) depends on a wealth of features, relating not just to removal standards, but also to appointments practices, procedural rules, internal organization, oversight regimes, historical traditions, cultural norms, and (inevitably) personal relationships. It is hard to pinpoint how those factors work individually, much less in concert, to influence the distance between an agency and a President. In that light, even the judicial opinions' perennial focus on removal standards is a bit of a puzzle. Removal is only the most obvious, not necessarily the most potent, means of control. See generally *Free Enterprise Fund*, 561 U. S., at 524 (BREYER, J., dissenting). That is because informal restraints can prevent Presidents from firing at-will officers—and because other devices can keep officers with for-cause protection under control. Of course no court, as *Free Enterprise Fund* noted, can accurately assess the “bureau-

cratic minutiae” affecting a President’s influence over an agency. *Id.*, at 500 (majority opinion); *ante*, at 30 (reprising the point). But that is yet more reason for courts to defer to the branches charged with fashioning administrative structures, and to hesitate before ruling out agency design specs like for-cause removal standards.

Our Constitution, as shown earlier, entrusts such decisions to more accountable and knowledgeable actors. See *supra*, at 264–269. The document—with great good sense—sets out almost no rules about the administrative sphere. As Chief Justice Marshall wrote when he upheld the first independent financial agency: “To have prescribed the means by which government should, in all future time, execute its powers, would have been to change, entirely, the character of the instrument.” *McCulloch*, 4 Wheat., at 415. That would have been, he continued, “an unwise attempt to provide, by immutable rules, for exigencies which, if foreseen at all, must have been seen dimly.” *Ibid.* And if the Constitution, for those reasons, does not lay out immutable rules, then neither should judges. This Court has usually respected that injunction. It has declined to second-guess the work of the political branches in creating independent agencies like the CFPB. In reversing course today—in spurning a “pragmatic, flexible approach to American governance” in favor of a dogmatic, inflexible one, *ante*, at 231—the majority makes a serious error.

II

As the majority explains, the CFPB emerged out of disaster. The collapse of the subprime mortgage market “precipitat[ed] a financial crisis that wiped out over \$10 trillion in American household wealth and cost millions of Americans their jobs, their retirements, and their homes.” *Ante*, at 205. In that moment of economic ruin, the President proposed and Congress enacted legislation to address the causes of the collapse and prevent a recurrence. An important part of that statute created an agency to protect consumers from

Opinion of KAGAN, J.

exploitative financial practices. The agency would take over enforcement of almost 20 existing federal laws. See 12 U. S. C. § 5581. And it would administer a new prohibition on “unfair, deceptive, or abusive act[s] or practice[s]” in the consumer-finance sector. § 5536(a)(1)(B).

No one had a doubt that the new agency should be independent. As explained already, Congress has historically given—with this Court’s permission—a measure of independence to financial regulators like the Federal Reserve Board and the FTC. See *supra*, at 271–276. And agencies of that kind had administered most of the legislation whose enforcement the new statute transferred to the CFPB. The law thus included an ordinary for-cause provision—once again, that the President could fire the CFPB’s Director only for “inefficiency, neglect of duty, or malfeasance in office.” § 5491(c)(3). That standard would allow the President to discharge the Director for a failure to “faithfully execute[]” the law, as well as for basic incompetence. U. S. Const., Art. II, § 3; see *supra*, at 268, 280. But it would not permit removal for policy differences.

The question here, which by now you’re well equipped to answer, is whether including that for-cause standard in the statute creating the CFPB violates the Constitution.

A

Applying our longstanding precedent, the answer is clear: It does not. This Court, as the majority acknowledges, has sustained the constitutionality of the FTC and similar independent agencies. See *ante*, at 204, 215–218. The for-cause protections for the heads of those agencies, the Court has found, do not impede the President’s ability to perform his own constitutional duties, and so do not breach the separation of powers. See *supra*, at 277–282. There is nothing different here. The CFPB wields the same kind of power as the FTC and similar agencies. And all of their heads receive the same kind of removal protection. No less than

those other entities—by now part of the fabric of government—the CFPB is thus a permissible exercise of Congress’s power under the Necessary and Proper Clause to structure administration.

First, the CFPB’s powers are nothing unusual in the universe of independent agencies. The CFPB, as the majority notes, can issue regulations, conduct its own adjudications, and bring civil enforcement actions in court—all backed by the threat of penalties. See *ante*, at 203; 12 U. S. C. §§ 5512, 5562–5565. But then again, so too can (among others) the FTC and SEC, two agencies whose regulatory missions parallel the CFPB’s. See 15 U. S. C. §§ 45, 53, 57a, 57b–3, 78u, 78v, 78w. Just for a comparison, the CFPB now has 19 enforcement actions pending, while the SEC brought 862 such actions last year alone. See Brief for Petitioner 7; SEC, Div. of Enforcement 2019 Ann. Rep. 14. And although the majority bemoans that the CFPB can “bring the coercive power of the state to bear on millions of private citizens,” *ante*, at 219–220, that scary-sounding description applies to most independent agencies. Forget that the more relevant factoid for those many citizens might be that the CFPB has recovered over \$11 billion for banking consumers. See *ante*, at 206. The key point here is that the CFPB got the mass of its regulatory authority from other independent agencies that had brought the same “coercive power to bear.” See 12 U. S. C. § 5581 (transferring power from, among others, the Federal Reserve, FTC, and FDIC). Congress, to be sure, gave the CFPB new authority over “unfair, deceptive, or abusive act[s] or practice[s]” in transactions involving a “consumer financial product or service.” §§ 5517(a)(1), 5536(a)(1). But again, the FTC has power to go after “unfair or deceptive acts or practices in or affecting commerce”—a portfolio spanning a far wider swath of the economy. 15 U. S. C. § 45(a)(1).¹⁰ And if influence on economic life is the

¹⁰ The majority suggests that the FTC was a different animal when this Court upheld its independent status in *Humphrey’s*. See *ante*, at 218. But then, as now, the FTC’s organic statute broadly “empowered and di-

Opinion of KAGAN, J.

measure, consider the Federal Reserve, whose every act has global consequence. The CFPB, gauged by that comparison, is a piker.

Second, the removal protection given the CFPB's Director is standard fare. The removal power rests with the President alone; Congress has no role to play, as it did in the laws struck down in *Myers* and *Bowsher*. See *supra*, at 277. The statute provides only one layer of protection, unlike the law in *Free Enterprise Fund*. See *supra*, at 281–282. And the clincher, which you have heard before: The for-cause standard used for the CFPB is identical to the one the Court upheld in *Humphrey's*. Both enable the President to fire an agency head for “inefficiency, neglect of duty, or malfeasance in office.” See 12 U. S. C. § 5491(c)(3); 15 U. S. C. § 41; *supra*, at 277–278. A removal provision of that kind applied to a financial agency head, this Court has held, does not “unduly trammel[] on executive authority,” even though it prevents the President from dismissing the official for a discretionary policy judgment. *Morrison*, 487 U. S., at 691. Once again: The removal power has not been “completely stripped from

rected” the agency “to prevent persons” or businesses “from using unfair methods of competition in commerce.” Act of Sept. 26, 1914, § 5, 38 Stat. 719. To fulfill that mandate, the agency could and did run investigations, bring administrative charges, and conduct adjudications. See *ibid.*; § 6(a), *id.*, at 721; FTC Ann. Rep. (1935) (describing the FTC's extensive enforcement activities in the year before *Humphrey's*). And if any person refused to comply with an order, the agency could seek its enforcement in federal court under a highly deferential standard. See § 5, 38 Stat. 720; *FTC v. Pacific States Paper Trade Assn.*, 273 U. S. 52, 63 (1927). Still more, the FTC has always had statutory rulemaking authority, even though (like several other agencies) it relied on adjudications until the 1960s. See § 6(g), 38 Stat. 722; *National Petroleum Refiners Assn. v. FTC*, 482 F. 2d 672, 686 (CA DC 1973). (The majority's reply that a court including Charles Evans Hughes, Louis Brandeis, Benjamin Cardozo, and Harlan Stone somehow misunderstood these powers, see *ante*, at 219, n. 4, lacks all plausibility.) And in any case, the relevant point of comparison is the present-day FTC, which remains independent even if it now has some expanded powers—and which remains constitutional under not only *Humphrey's* but also *Morrison*. See *supra*, at 277–280.

the President,” providing him with no means to “ensure the ‘faithful execution’ of the laws.” *Id.*, at 692; see *supra*, at 280. Rather, this Court has explained, the for-cause standard gives the President “ample authority to assure that [the official] is competently performing his or her statutory responsibilities in a manner that comports with” all legal obligations. 487 U. S., at 692; see *supra*, at 280. In other words—and contra today’s majority—the President’s removal power, though not absolute, gives him the “meaningful[] control[]” of the Director that the Constitution requires. *Ante*, at 224–225.

The analysis is as simple as simple can be. The CFPB Director exercises the same powers, and receives the same removal protections, as the heads of other, constitutionally permissible independent agencies. How could it be that this opinion is a dissent?

B

The majority focuses on one (it says sufficient) reason: The CFPB Director is singular, not plural. “Instead of placing the agency under the leadership of a board with multiple members,” the majority protests, “Congress provided that the CFPB would be led by a single Director.” *Ante*, at 203.¹¹

¹¹ The majority briefly mentions, but understandably does not rely on, two other features of Congress’s scheme. First, the majority notes that the CFPB receives its funding outside the normal appropriations process. See *ante*, at 226. But so too do other financial regulators, including the Federal Reserve Board and the FDIC. See 12 U. S. C. §§ 243, 1815(d), 1820(e). And budgetary independence comes mostly at the expense of Congress’s control over the agency, not the President’s. (Because that is so, it actually works to the President’s advantage.) Second, the majority complains that the Director’s five-year term may prevent a President from “shap[ing] the agency’s] leadership” through appointments. *Ante*, at 225. But again that is true, to one degree or another, of quite a few longstanding independent agencies, including the Federal Reserve, the FTC, the Merit Systems Protection Board, and the Postal Service Board of Governors. See, e. g., §§ 241, 242; 15 U. S. C. § 41; 5 U. S. C. §§ 1201, 1202; 39 U. S. C. § 202. (If you think the last is unimportant, just ask the current President whether he agrees.)

Opinion of KAGAN, J.

And a solo CFPB Director does not fit within either of the majority's supposed exceptions. He is not an inferior officer, so (the majority says) *Morrison* does not apply; and he is not a multimember board, so (the majority says) neither does *Humphrey's*. Further, the majority argues, "[a]n agency with a [unitary] structure like that of the CFPB" is "novel"—or, if not quite that, "almost wholly unprecedented." *Ante*, at 204, 220. Finally, the CFPB's organizational form violates the "constitutional structure" because it vests power in a "single individual" who is "insulated from Presidential control." *Ante*, at 204, 224.

I'm tempted at this point just to say: No. All I've explained about constitutional text, history, and precedent invalidates the majority's thesis. But I'll set out here some more targeted points, taking step by step the majority's reasoning.

First, as I'm afraid you've heard before, the majority's "exceptions" (like its general rule) are made up. See *supra*, at 276–282. To begin with, our precedents reject the very idea of such exceptions. "The analysis contained in our removal cases," *Morrison* stated, shuns any attempt "to define rigid categories" of officials who may (or may not) have job protection. 487 U. S., at 689. Still more, the contours of the majority's exceptions don't connect to our decisions' reasoning. The analysis in *Morrison*, as I've shown, extended far beyond inferior officers. See *supra*, at 281. And of course that analysis had to apply to *individual* officers: The independent counsel was very much a person, not a committee. So the idea that *Morrison* is in a separate box from this case doesn't hold up.¹² Similarly, *Humphrey's* and later prece-

¹² The majority, seeking some other way to distinguish *Morrison*, asserts that the independent counsel's "duties" were more "limited" than the CFPB Director's. *Ante*, at 218–219. That's true in a sense: All (all?) the special counsel had to do was decide whether the President and his top advisers had broken the law. But I doubt (and I suspect Presidents would too) whether the need to control those duties was any less "central to the

dents give no support to the majority's view that the number of people at the apex of an agency matters to the constitutional issue. Those opinions mention the "groupness" of the agency head only in their background sections. The majority picks out that until-now-irrelevant fact to distinguish the CFPB, and constructs around it an until-now-unheard-of exception. So if the majority really wants to see something "novel," *ante*, at 204, it need only look to its opinion.

By contrast, the CFPB's single-director structure has a fair bit of precedent behind it. The Comptroller of the Currency. The Office of the Special Counsel (OSC). The Social Security Administration (SSA). The Federal Housing Finance Agency (FHFA). Maybe four prior agencies is in the eye of the beholder, but it's hardly nothing. I've already explained why the earliest of those agencies—the Civil-War-era Comptroller—is not the blip the majority describes. See *supra*, at 274–275. The office is one in a long line, starting with the founding-era Comptroller of the Treasury (also one person), of financial regulators designed to do their jobs with some independence. As for the other three, the majority objects: too powerless and too contested. See *ante*, at 220–222. I think not. On power, the SSA runs the Nation's largest government program—among other things, deciding all claims brought by its 64 million beneficiaries; the FHFA plays a crucial role in overseeing the mortgage market, on which millions of Americans annually rely; and the OSC prosecutes misconduct in the two-million-person federal workforce. All different from the CFPB, no doubt; but the majority can't think those matters beneath a President's notice. (Consider: Would the President lose more votes from a malfunctioning SSA or CFPB?) And controversial? Well,

functioning of the Executive Branch" than the need to control the CFPB's. *Morrison*, 487 U. S., at 691–692. And in any event, as I've shown, *Morrison* did much more than approve a specific removal provision; it created a standard to govern all removal cases that is at complete odds with the majority's reasoning. See *supra*, at 279–281.